

BU5300 – IT Project Management

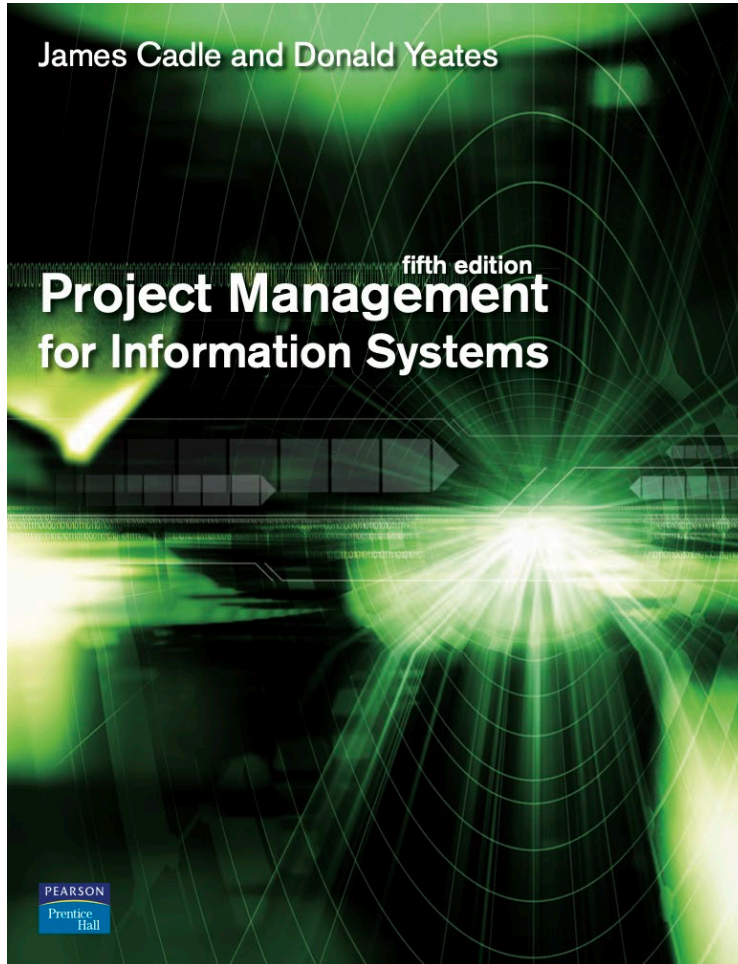
IT Project Management

Lecture 10: **Change Management**

Chapter 20

Overview of the Course

Lectures and Book Chapters



Lecture 1 - Chapters 1 and 2

Lecture 2 - Chapters 3 and 4

Lecture 3 - Chapter 6

Lecture 4 - *Agile Development*

Lecture 5 - Chapters 7 and 8

Lecture 6 - Chapter 9 and 10

Lecture 7 - Chapters 11 - 14

Lecture 8 - Chapter 15

Lecture 9 - Chapters 18 and 21

Lecture 10 - Chapter 20

Acknowledgement

- Some of the contents of this lecture are copyrighted materials from Prosci®.
- Prosci® has permitted the use of part of its published materials for this lecture for informational purposes.
- *ADKAR® is a registered and unregistered trademark of Prosci, Inc., used with permission.”*
- *More information about Prosci’s approach to change management, training opportunities, and certification can be found on the company’s website*
<https://www.prosci.com/>

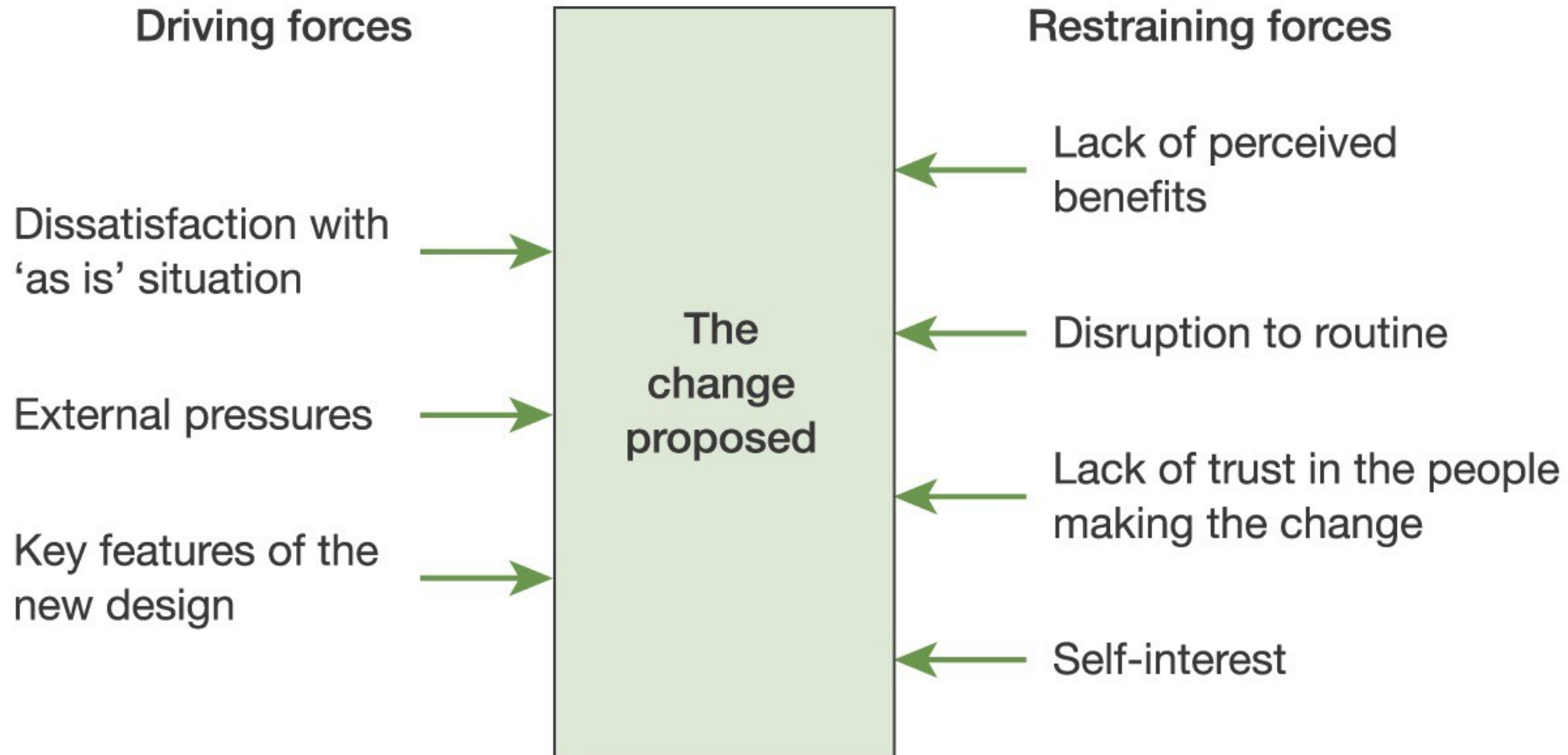
Introduction

- All new information systems bring a range of changes with them
 - Business processes and procedures
 - New roles and responsibilities
 - Organizational restructuring
 - New equipment
 - New skills
- All of these changes involve people
 - So, **people** are the key to the success of any IS implementation

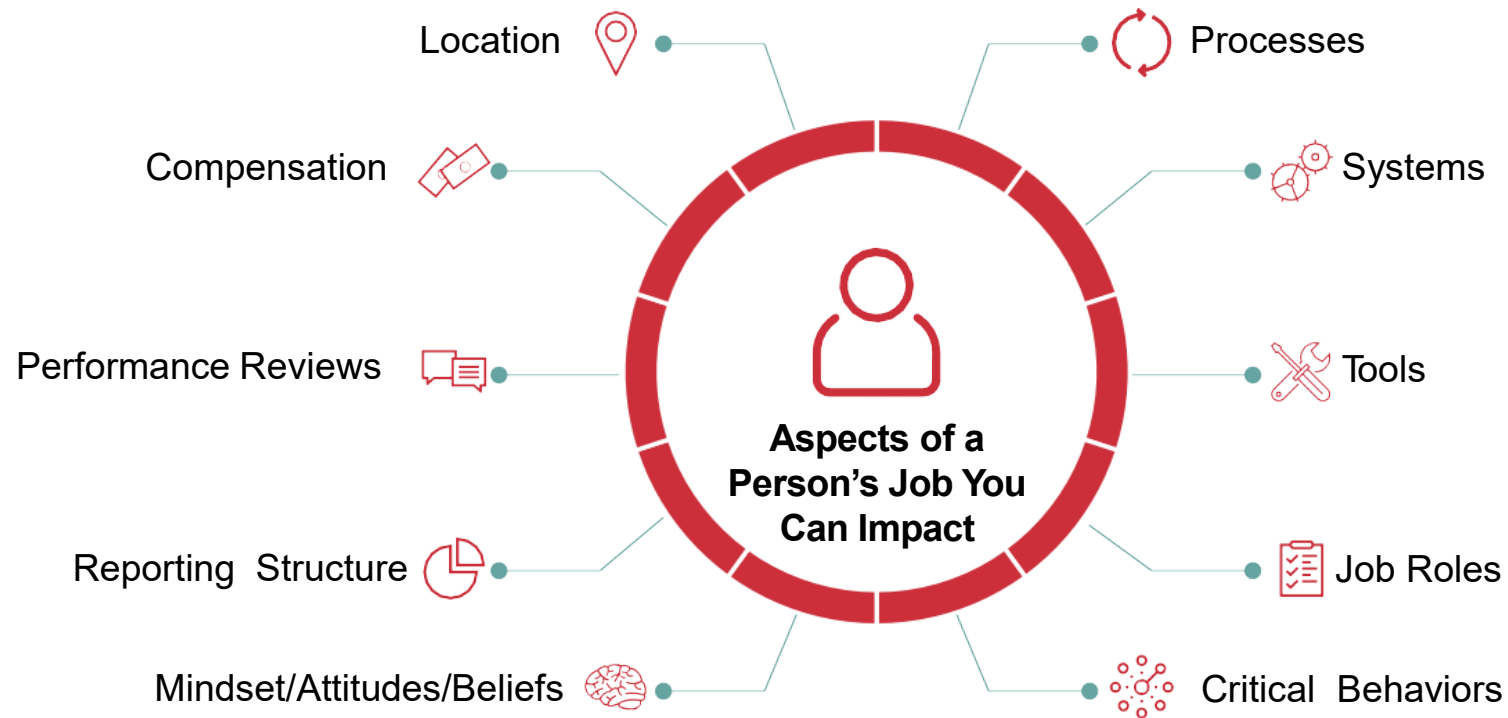
Introduction Cont'd

- No matter how well designed the new system and how well planned the implementation, **only with proper consideration of the 'people issues' will IT-enabled change succeed**
- Managing change is all about dealing with the people, and about involving people
- Information systems are only enablers for change

Force-field Analysis



Each Group Is Affected Differently



“© Prosci, Inc.”

Prosci® Definition of Change management

*The process, tools and techniques to manage the **people side of change** to achieve the required business results*

Primary Reasons for Applying Change Management



Increase probability of project success



Manage employee resistance to change



Capture people-dependent ROI



Build change competency into the organization

Consequences of **not** managing the change

- Lower productivity
- Passive resistance
- Active resistance
- Turnover of valued employees
- Disinterest in the current or future state
- Arguing about the need for change
- More people taking sick days or not showing up
- Changes not fully implemented
- People finding work-arounds
- People revert to the old way of doing things
- The change being totally scrapped
- Divides are created between 'us' and 'them'



Copyright © Prosci

Top Contributors to Success



1. Active and visible executive sponsorship



2. Dedicated change management resources



3. Structured change management approach



4. Employee engagement and participation



5. Frequent and open communication



6. Integration and engagement with project management



7. Engagement with middle managers

Change Management vs Project Management

Focus: **Technical side** of moving
from current state to future state

Project Management



Change Management

Focus: **People side** of moving
from current state to future state

Process:

- Initiation
- Planning
- Design
- Implementation
- Closure

Tools:

- Statement of work
- Project charter
- Business case
- Work breakdown structure
- Budget estimation
- Resource allocation
- Schedule
- Tracking

Process:

Organizational:

- Preparing for change
- Managing change
- Reinforcing change™

Individual:

- ADKAR®

Tools:

- Individual change model
- Readiness assessment
- Communications plan
- Sponsor Roadmap
- Coaching plan
- Resistance management
- Training plan
- Reinforcement

Lewin's Change Management Template



Unfreeze

1. Recognize the need for change
2. Determine what needs to change
3. Encourage the replacement of old behaviors and attitudes
4. Ensure there is strong support from management
5. Manage and understand the doubts and concerns

Change

1. Plan the changes
2. Implement the changes
3. Help employees to learn new concept or points of view

Refreeze

1. Changes are reinforced and stabilized
2. Integrate changes into the normal way of doing things
3. Develop ways to sustain the change
4. Celebrate success

Lewin, Kurt. **Group decision and social change.**
Readings in social psychology 3.1 (1947): 197-211.

Managing change with ADKAR®

Hiatt, Jeff. **ADKAR: a model for change in business, government, and our community.** Prosci, 2006.

Change management perspectives (From Prosci®)

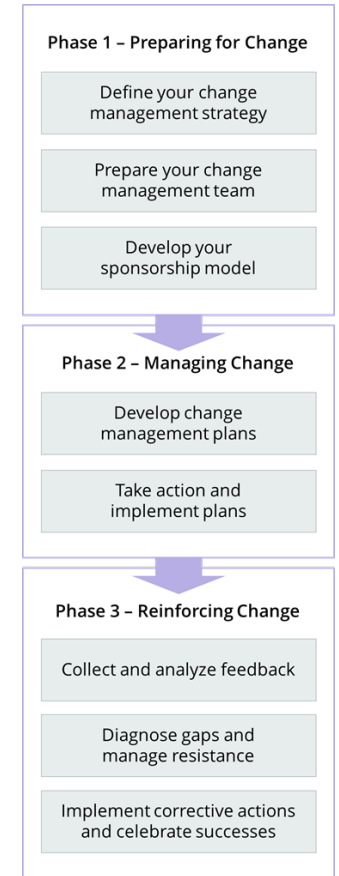
Individual perspective

- Understanding how one person makes a change successfully



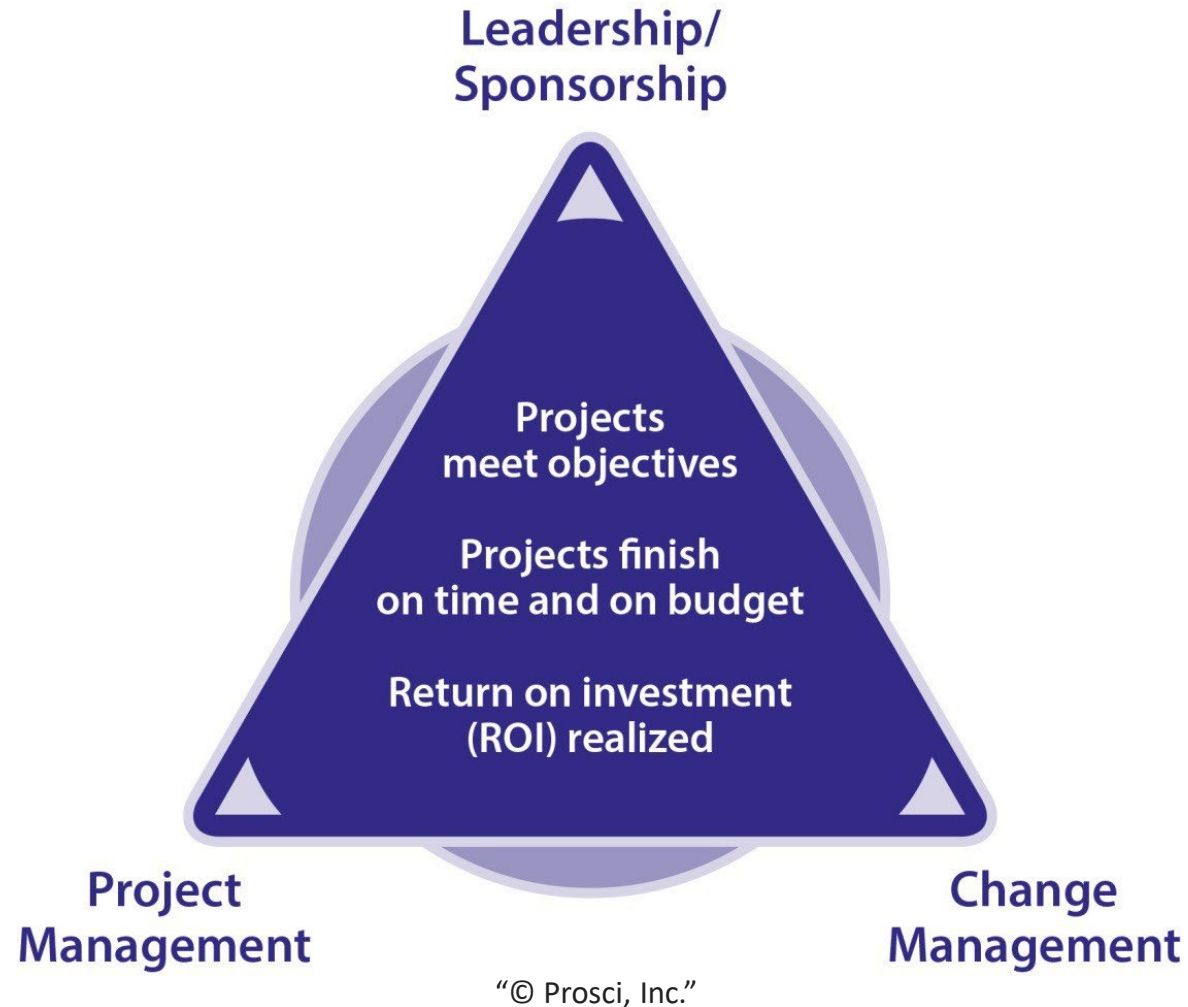
Organizational perspective

- The tools that project teams and managers have to support the 'people side' of change

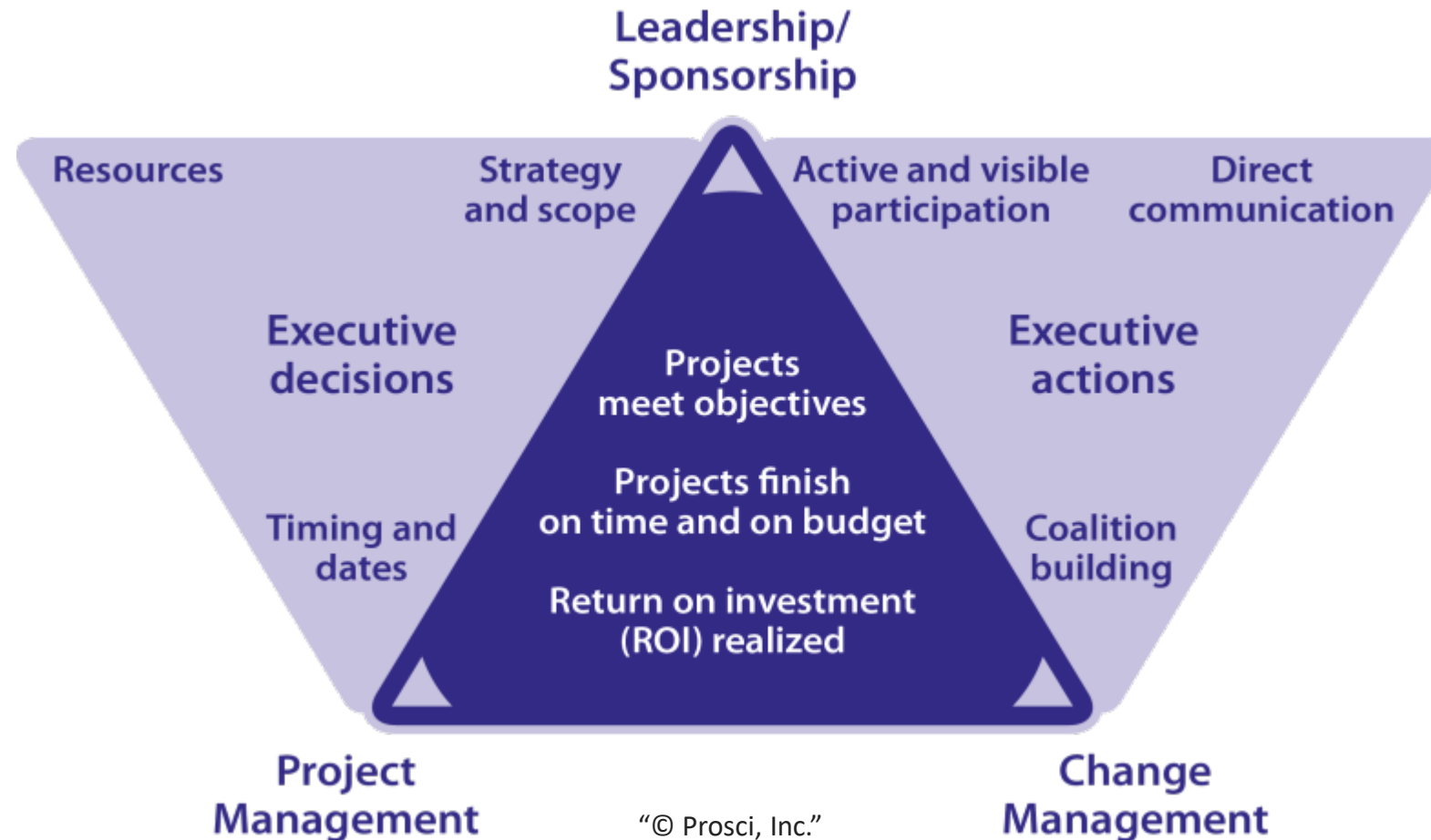


“© Prosci, Inc.”

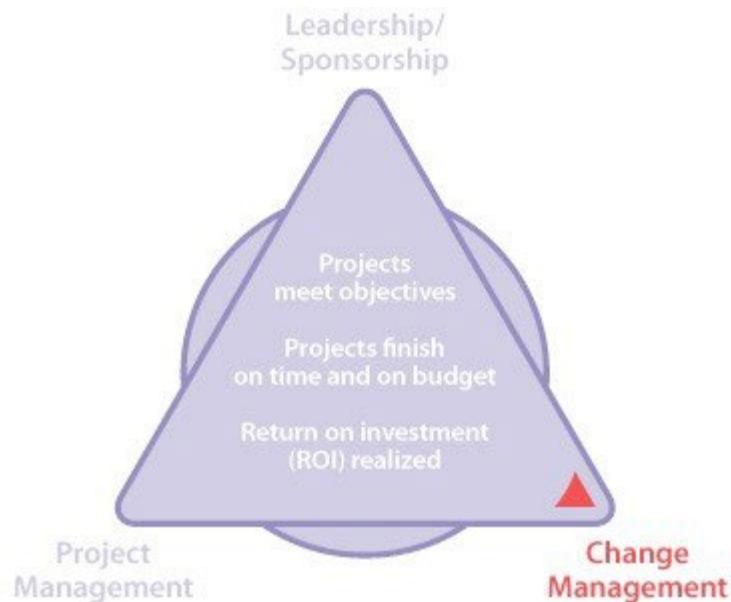
Prosci Project Change Triangle™ (PCT)



Prosci Project Change Triangle™ (PCT)

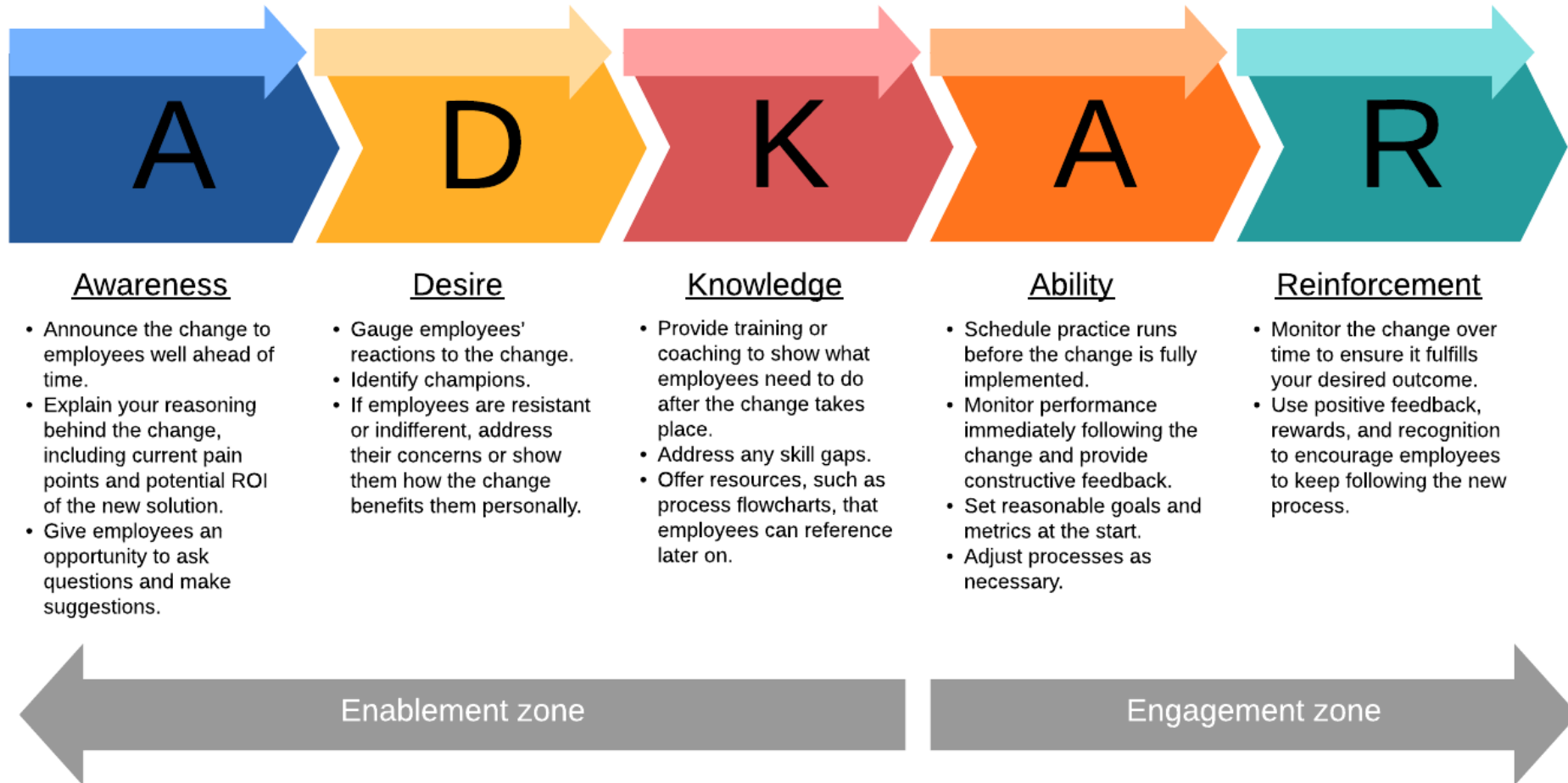


Change management



- Change management is the application of a set of processes, tools and practices that are used to manage the **people side** of a change
- Change management requires two perspectives – an **individual** perspective (how people experience change) and an **organizational** perspective (how groups can be managed through a change)
- Change management is the process of helping employees transition from the **current state** to the **future state** (as defined by the change) in a way that minimizes productivity loss, negative customer impact and employee turnover, while at the same time maximizes the speed of adoption and ultimate utilization of the change throughout the organization
- Tools like communication, sponsorship and coaching are used to help employees make their own individual transition
- Business results are only achieved when employees are **involved** and **participating** in the change. Change management is the final element of realizing change effectively

The Five Building Blocks for Successful Change

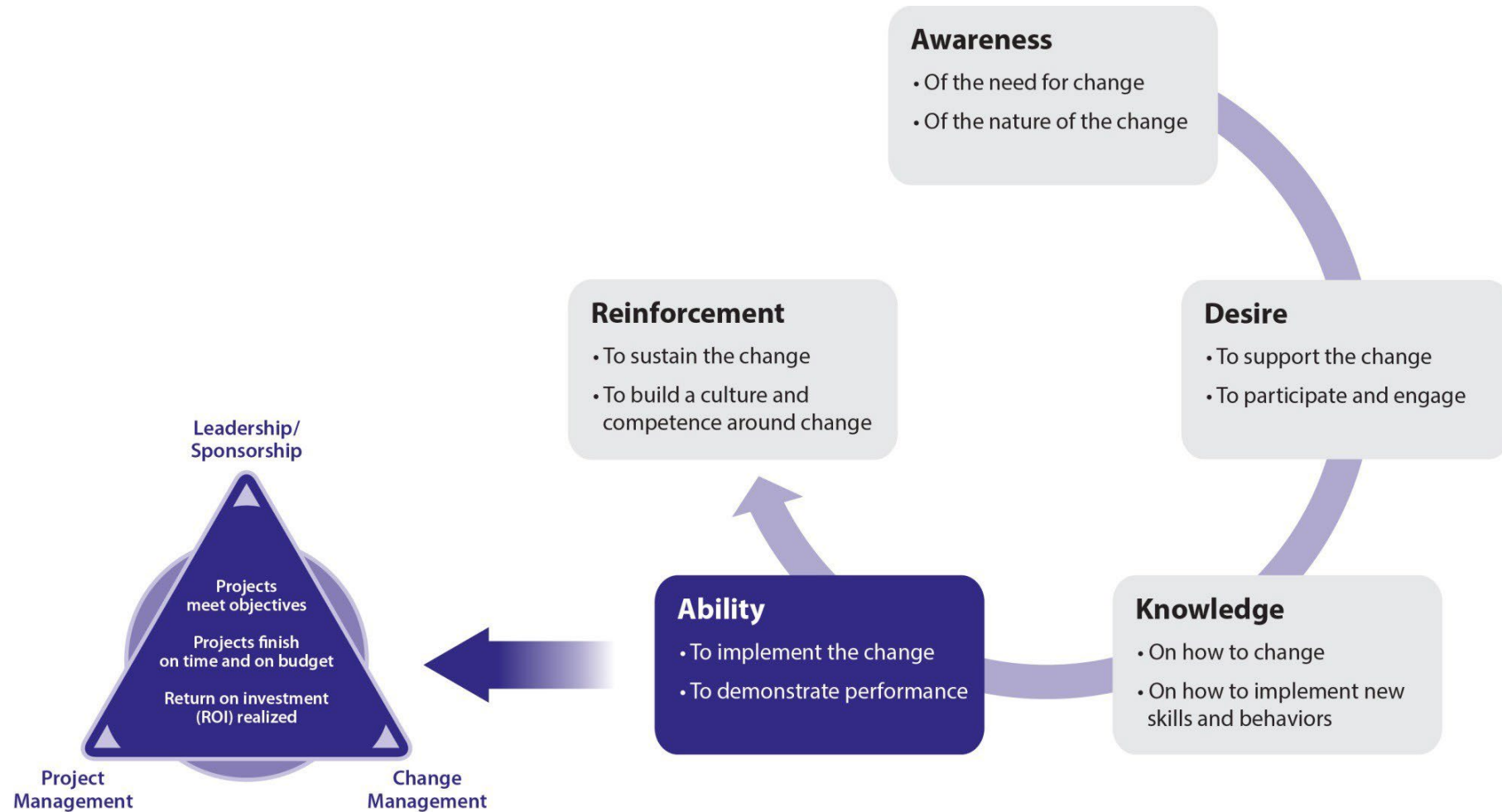


“© Prosci, Inc.”

Planning for Results

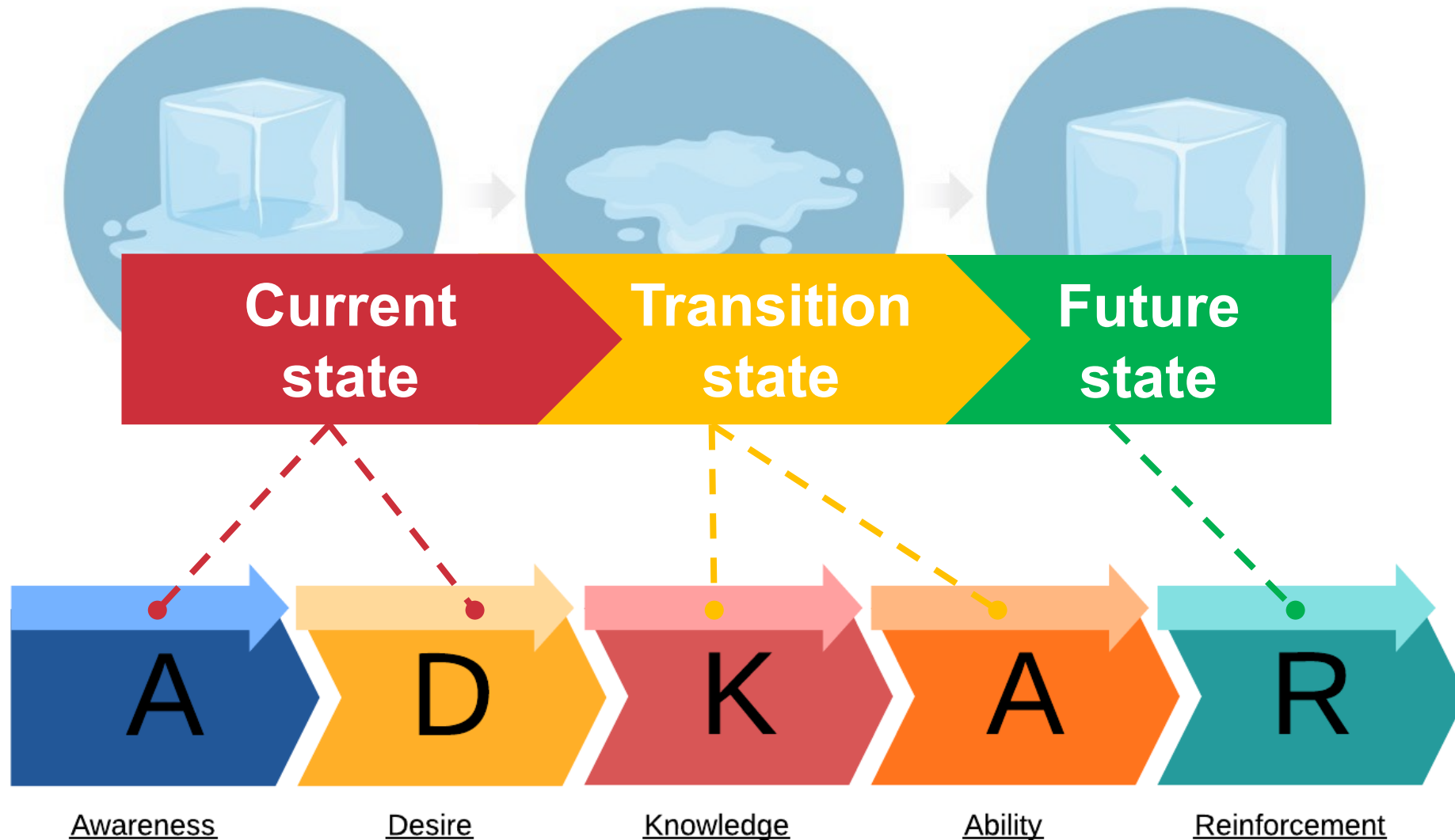


Prosci® ADKAR® Model



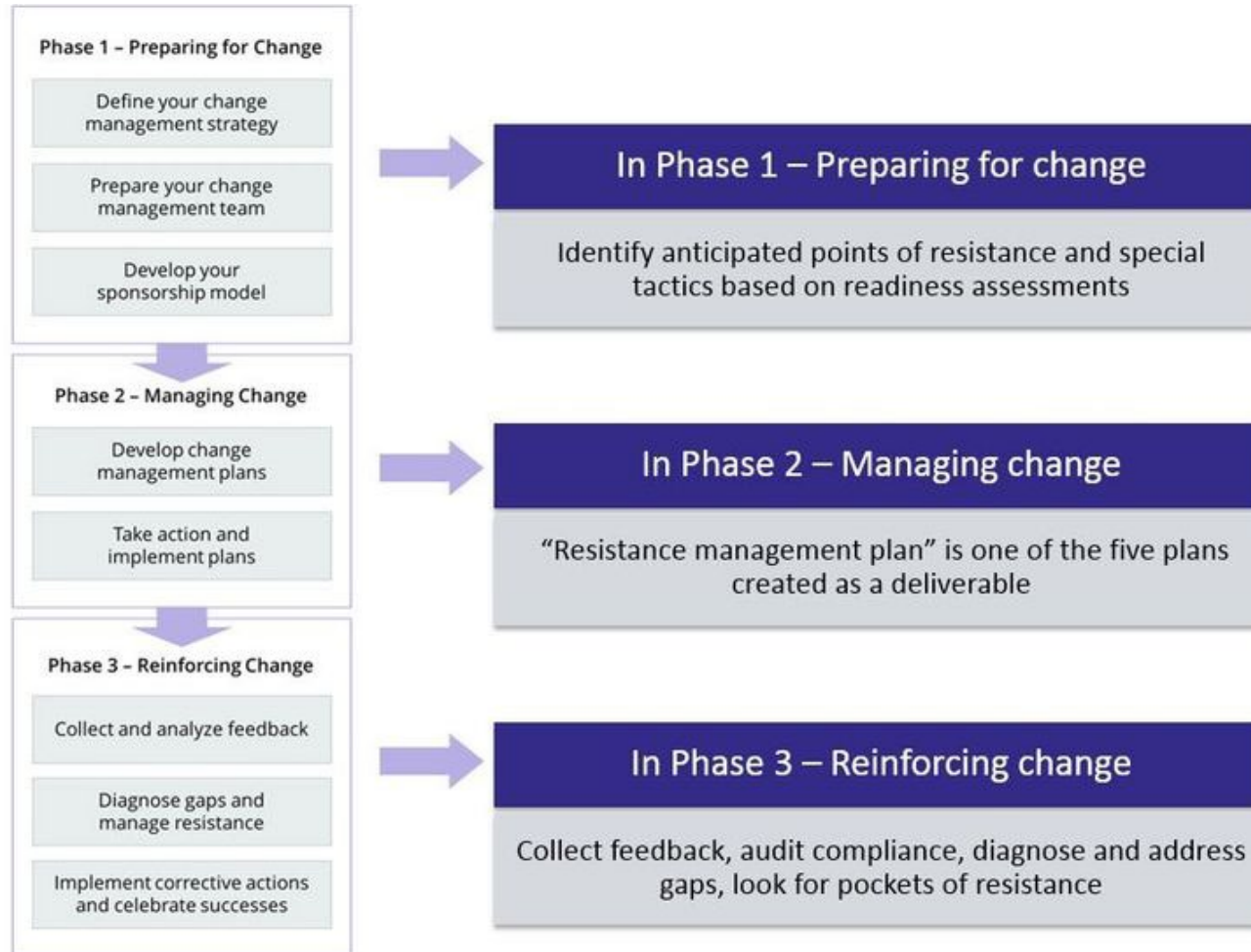
“© Prosci, Inc.”

Connecting ADKAR and the Current, Transition and Future States



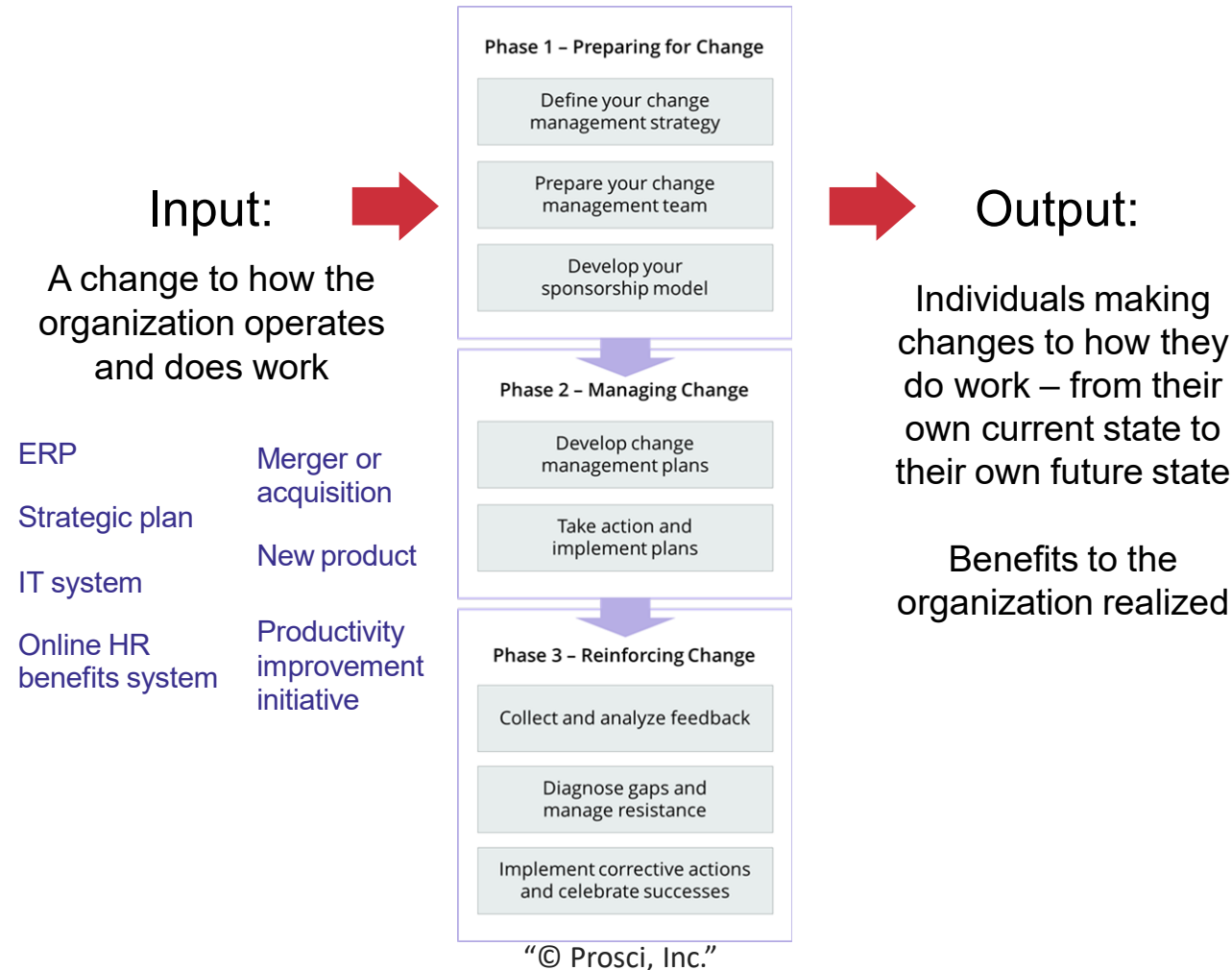
Prosci® 3-Phase Organizational Change Management Process

Organizational Change Management Process



“© Prosci, Inc.”

Organizational Change Management Process



Phase 1 - Preparing for Change

Phase 1 – Preparing for Change

Define your change
management strategy

Prepare your change
management team

Develop your
sponsorship model

Main Activities:

- Conduct readiness assessments
- Perform risk analysis
- Complete group impact analysis
- Anticipate areas of resistance
- Design special tactics
- Develop overall strategy
- Architect team structure
- Prepare your team
- Assess sponsorship

Phase 2 - Managing Change

Phase 2 – Managing Change

Develop change
management plans

Take action and
implement plans

Main Activities:

- Create plans for
 - Communications
 - Sponsorship
 - Coaching
 - Resistance management
 - Training
- Create master change mngmt plan
- Integrate into project plan
- Execute plans

Phase 3 - Reinforcing Change

Phase 3 – Reinforcing Change

Collect and analyze feedback

Diagnose gaps and
manage resistance

Implement corrective actions and
celebrate successes

Main Activities:

- Proactively collect feedback and listen to employees
- Audit compliance with the “new way of doing things”
- Identify gaps and areas of resistance
- Implement corrective actions
- Celebrate successes
- Move to “new” business as usual

The Big Picture

Prosci Methodology



Prosci Change Triangle Model

A framework that shows the four critical aspects of any successful change effort and how they are interrelated: a shared definition of success with leadership/sponsorship, project management and change management.

ADKAR Model

Describes the five 'building blocks' or elements an individual needs to achieve for a change to be successful.

Impacted individual is at the center of the Prosci Methodology. Individual success leads to organizational success.

Phase 3 – Sustain Outcomes

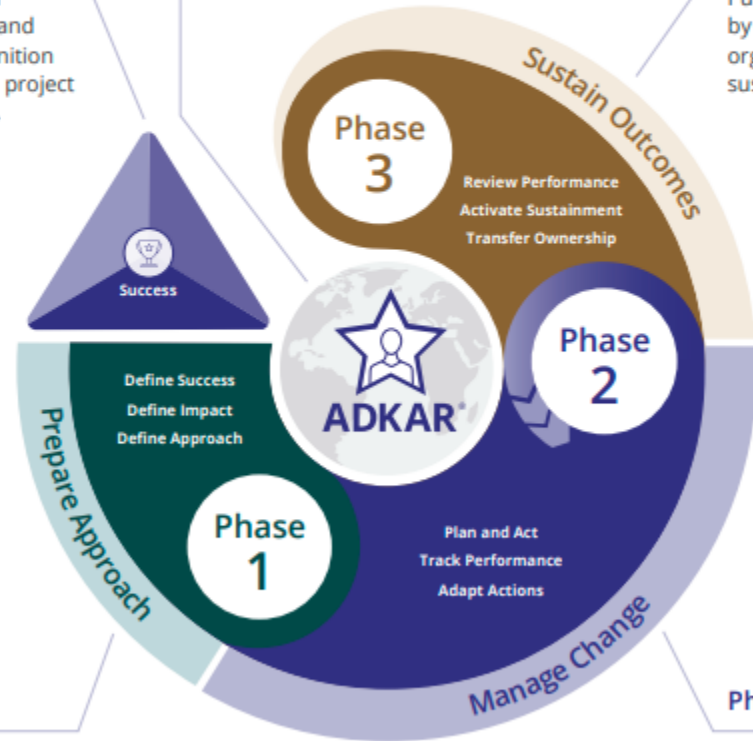
Purpose: To realize the value of the change by ensuring the change is adopted and the organization is committed and prepared to sustain the change.

Phase 1 – Prepare Approach

Purpose: To position the change for success by developing a customized and scaled change management strategy with the necessary sponsorship and commitment.

Phase 2 – Manage Change

Purpose: To achieve adoption and usage of the change by creating, implementing and adapting plan(s) that will move individuals and the organization through ADKAR transitions.



Leading and Sponsoring the Change

Most Effective Ways to Reinforce Change



At the Group Level

- Communicate status updates and success stories
- Recognize wins at the group level publicly
- Provide workshops, training and group activities
- Use key performance indicators to track progress
- Have the sponsor share the big-picture



At the Individual Level

- Communicate success
 - “Telling someone enthusiastically that they did a good job goes a long way.”
- Provide and collect feedback
- Recognize and reward adoption
- Provide on-the-job support mechanisms

“© Prosci, Inc.”

Key Roles in Change Management

Employee-Facing Roles



Sponsor

- Authorize the change
- Fulfill three key roles: (ABCs)
 - Actively and visibly participate throughout the project
 - Build a coalition of sponsorship with peers and managers
 - Communicate directly with employees



People Manager

- Support their direct reports in their change journeys
- Fulfill five key roles: (CLARC)
 - Communicator
 - Liaison
 - Advocate
 - Resistance Manager
 - Coach

Enabling Roles



Change Practitioner

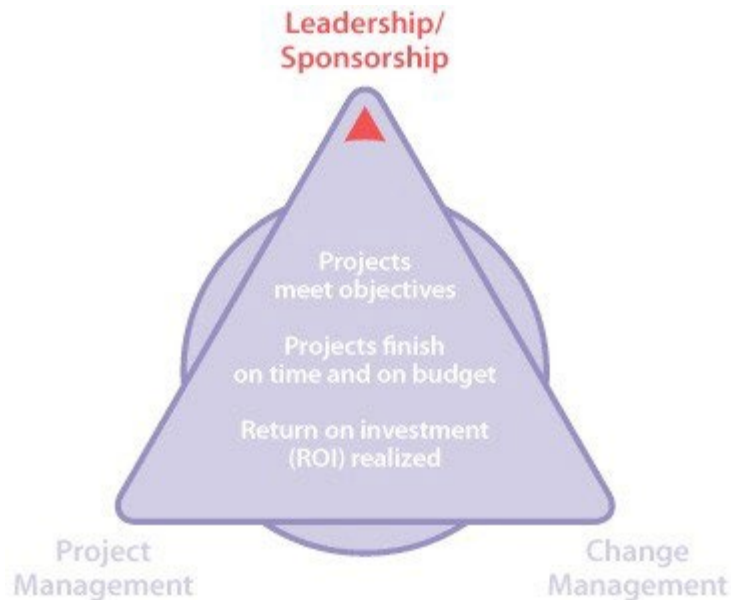
- Apply structure and intent to change
- Enable and equip other change roles
- Collaborate on a unified approach with the project manager



Project Manager

- Design, develop and deliver the technical solution with employee adoption and usage in mind from the beginning
- Collaborate on a unified approach with the change practitioner

Leadership and sponsorship



- Responsibility of executives and senior managers in the organization who authorize, fund and authorize the projects or initiatives
- They are responsible for making **decisions**, providing **direction**, and demonstrating their own and the organization's **commitment** to the particular change
- The role of 'sponsor of change' is not one that can be selected or assigned; it is **tied to** and **dictated by** the actual change that is being implemented
- From an **organizational perspective**, leadership is key in establishing the strategy and direction
- From a **project perspective**, leadership must support both the project management side and the change management side of a project or initiative

What Is Meant by Sponsorship?

ABCs of Sponsorship



The diagram illustrates the 'ABCs of Sponsorship' through three vertical columns. Each column is separated by a thin teal vertical line. The first column features a teal circle with a bold purple 'A' inside. Below it, the text reads 'Actively and visibly participate throughout the project'. The second column features a teal circle with a bold purple 'B' inside. Below it, the text reads 'Build a coalition of sponsorship with peers and managers'. The third column features a teal circle with a bold purple 'C' inside. Below it, the text reads 'Communicate directly with employees'. At the bottom center, between the second and third columns, is a small copyright notice: '© Prosci, Inc.'.

A

Actively and visibly
participate throughout
the project

B

Build a coalition of
sponsorship with
peers and managers

C

Communicate
directly with
employees

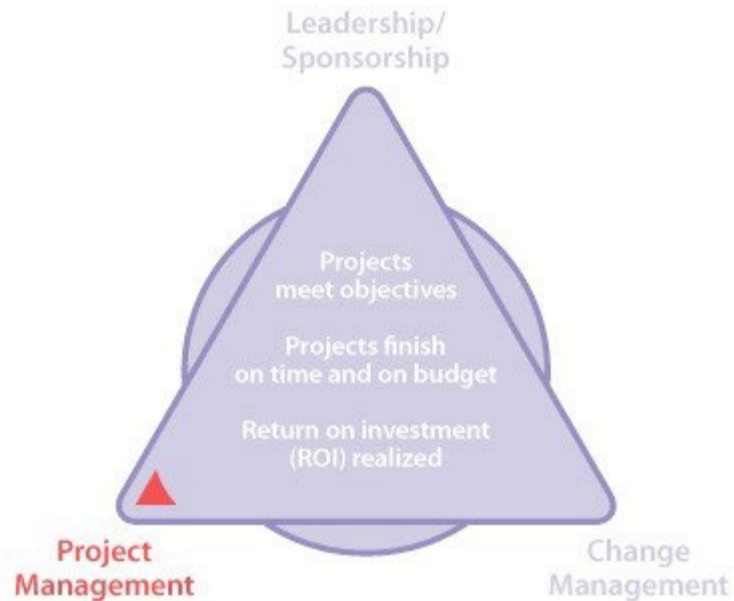
“© Prosci, Inc.”

Top 5 Most Common Sponsor Mistakes

1. Failed **to remain active and visible** throughout the life of the project
2. Underestimated or misunderstood **the people side of change**
3. Failed to communicate messages about **the need for change**
4. Delegated the **sponsorship role and responsibilities**
5. Failed to **demonstrate support** for the project in words and actions

Managing a Project with Changes

Project management



- Project management is the set of processes and tools applied to business problems or opportunities to **develop** and **implement** a solution
- Project management involves understanding the trade-off between the **time**, **cost** and **scope** of change that can be achieved

Managers fulfil many Roles During Change



Communicator



Liaison



Advocate



**Resistance
Manager**



Coach

Change management integrated or outside Project management

Advantages of Integrating PM and CM Teams

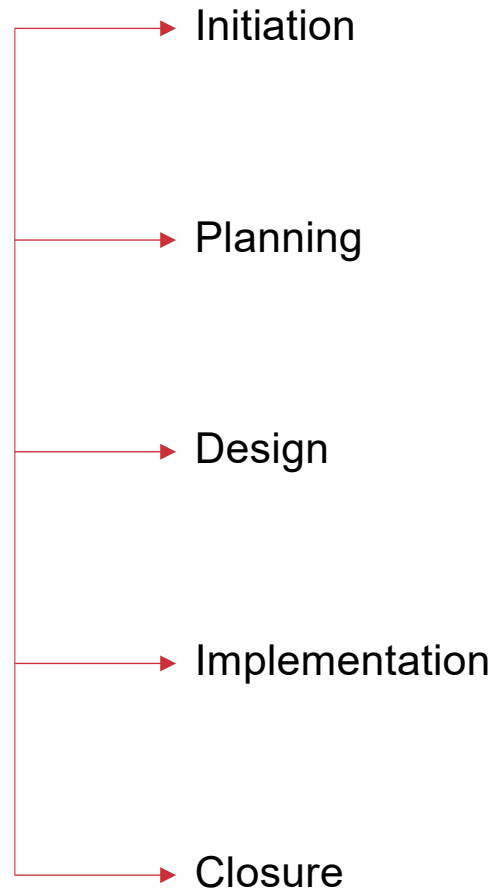
1. Collaboration on team
2. Effective communication
3. Stakeholder integration with the project
4. Effective project planning
5. Project management success
6. Risk mitigation

Advantages of CM Outside of but Supporting PM

1. Objectivity
2. Autonomy and independence
3. Direct access to leadership
4. Flexibility
5. Enabled specialization
6. Provide support

Entry Point Scenarios

Project Management Process



Conclusion

- CM focuses on the ‘people side’ of organizational change
- CM involves both an individual and an organizational perspective
- CM requires action and involvement by leaders and managers
- CM and project management are both tools that support benefit realization
 - project management is the ‘technical’ side and change management is the ‘people’ side
- CM is most effective when it is integrated into the project activities

Questions?

Jefferson Seide Molléri
jefferson.molleri@kristiania.no

Assignment 10: Managing IT Project Change

Develop a change management plan to carry out a major change in your IT project

- Identify a major change anticipated in your project (see Success Criteria, Assignment 5)
- Using the PROSCI model, develop a change management plan that includes specific actions and timelines for managing the change, as well as identifying stakeholders who will be affected (see Assignment 9) and any potential risks (see Assignment 8)
- Develop a communication plan that outlines how you will communicate the change to stakeholders

Bibliography

- Cadle, James, and Donald Yeates, eds. **Project management for information systems**. Pearson education, 2004.
- Hiatt, Jeff. **ADKAR: a model for change in business, government, and our community**. Prosci, 2006.
- Lewin, Kurt. **Group decision and social change**. Readings in social psychology 3.1 (1947): 197-211.